Corporate KYC Onboarding Policy

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Owner	Financial Crimes Compliance
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Review Cycle	Annual

Document Summary

Defines minimum onboarding evidence, beneficial ownership checks, risk rating, and enhanced due diligence triggers for corporate clients.

1. Purpose and Scope

This policy describes the minimum know-your-customer controls required before opening or materially expanding a corporate client relationship. It applies to fictional commercial banking, treasury, lending, and capital markets onboarding workflows used in this demo.

No account, product, or payment capability may be activated until required identity, ownership, authorization, screening, and risk assessment steps are complete or formally approved through an exception workflow.

2. Required Onboarding Documents

Relationship teams must collect a certificate of incorporation or equivalent formation document, current registered address, tax identification number, business license when applicable, and evidence of operating address if different from the registered address.

The onboarding file must include authorized signer evidence, board resolution or delegated authority record, ownership chart, expected account purpose, expected transaction geographies, and expected monthly transaction volume.

For regulated entities, the file must also include the regulator name, registration number, license status, and a screenshot or extract from the public regulator register dated within 30 calendar days of onboarding approval.

3. Beneficial Ownership Checks

The onboarding analyst must identify all natural persons who directly or indirectly own 25 percent or more of the legal entity, plus one control person with significant responsibility to manage or direct the entity.

Ownership must be verified using reliable independent sources such as corporate registries, audited financial statements, notarized ownership declarations, or equivalent legal documents. Where layered ownership exists, analysts must trace ownership through each intermediate entity until the natural person owners are identified or an approved exemption applies.

If no individual meets the 25 percent ownership threshold, the analyst must document that result and still identify the control person. Missing beneficial ownership evidence blocks onboarding unless the Financial Crimes Compliance approver records a time-bound exception.

4. Screening and Sanctions Review

The client entity, trade names, beneficial owners, control person, directors, and authorized signers must be screened against sanctions, politically exposed persons, adverse media, and internal restriction lists before approval.

True or unresolved potential sanctions matches must be escalated to Financial Crimes Compliance immediately. The relationship team may not notify the client of a potential sanctions match without Compliance approval.

5. Enhanced Due Diligence Triggers

Enhanced due diligence is required when the client or beneficial owner is associated with a high-risk jurisdiction, cash-intensive business model, complex layered ownership, bearer shares, politically exposed persons, material adverse media, sanctions proximity, or expected activity inconsistent with the stated business purpose.

Enhanced due diligence must include senior management approval, source-of-wealth or source-of-funds analysis where relevant, a written risk narrative, transaction monitoring expectations, and a review date no later than 12 months after onboarding.

When enhanced due diligence evidence is insufficient, the relationship must be declined, paused, or escalated to the Client Risk Committee before any product is activated.

6. Exceptions and Recordkeeping

Exceptions must identify the missing requirement, business rationale, compensating control, accountable owner, and expiration date. Open-ended exceptions are not permitted.

KYC onboarding records must be retained for seven years after relationship closure unless a legal hold or regulator instruction requires a longer retention period.